

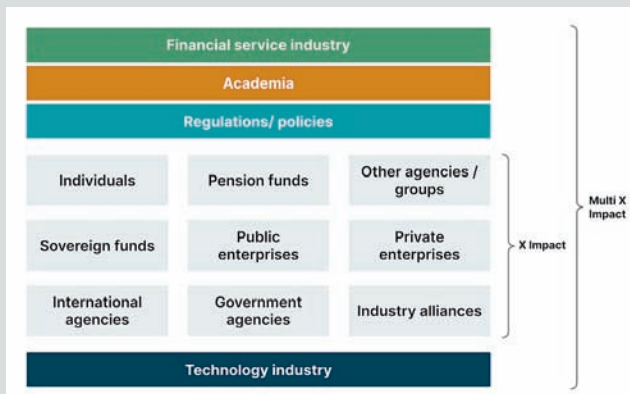
HOW CAN FINANCIAL SERVICES FURTHER SUSTAINABLE GROWTH

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The financial industry / ecosystem is currently playing the role of an enabler, a mediator, an investor or a ratings assessor but it has the opportunity to become a direct contributor towards creating sustainable growth.

While the footprint of the financial services industry may not be entirely quantifiable yet, there is empirical evidence that it has indeed underwritten Environmental, Social and Corporate Governance (ESG) initiatives while maintaining business equilibrium.

However, no single entity can tackle the environmental challenges to create the needed impact all by themselves. What the world needs today is different organizations and industries coming together to create a force multiplier effect. Technology and data can further amplify such impact by becoming the connective fabric and providing insights and transparency while measuring outcomes.



We explore how financial institutions are impacting the 4 pillars of sustainability: humanity, society, environment and economy. Our framework maps sustainability to innovations in financial services that further impact businesses in a balanced manner.

Human sustainability - carrying the nexus

Across developing countries, digital financial services help governments to enhance reach, quality and efficiency of publicly provided services.

Financial services also have significant opportunities to educate the youth. Many young people join savings groups to mobilize savings and loans for their own or their siblings' educational needs.

Social sustainability - innovating via technology

Today, 1.6 billion adults across the globe are unbanked and many more are under-banked. By harnessing emerging technologies, fintechs are boosting financial inclusion. Replacing cash with digital transactions has moved the needle on sustainability goals – virtual cards reduce plastic/metal use while lower cost fintech solutions further financial inclusion at scale. For example, analytics help with loan approvals for the unbanked and people with no credit history through business models such as Buy Now Pay Later (BNPL).

Environmental sustainability - financializing the environment

Banks, worldwide, are aligning their lending and investment portfolios to ensure net-zero emissions by 2050. Financial institutions have facilitated 'emissions marketplaces,' that are critiqued for being 'profit accumulating tactics' that will not sustain nature. However, initiatives like carbon credit trading are instrumental in ensuring net-off and overall sustainability.



Economic sustainability - retailing the playbook

Impact investment used to be a niche terrain with specialist players and beneficiaries. That's no longer the case. To understand the impact, let's review sustainability funding sans bonds. India Inc spent \$12.85 bn on CSR over the last 7 years as opposed to the country issuing \$6.11 bn in green bonds during the first 11 months of 2021 alone!

Ultimately, what we see is the potential around ESG mixed with legitimate concerns around Greenwashing. Also, market slumps have sometimes seen investors withdraw billions from ESG-labeled exchange-traded equity funds – indicative of non commitment to ESG initiatives.

In such a scenario, here's how financial services organizations can adapt their services for sustainability, powered by tech:

Product innovation: a rise in innovative products such as Donor Advised Funds provides incentive, purpose and control to customers. This helps channel funds towards sustainable development activities via charity / gift initiatives.

Governance: to balance sustainability and growth, financial institutions have created risk management approaches and are setting up advisory groups that directly report to the board to make sustainability a priority.

Ecosystem influence: organizations are setting carbon intensity targets for key sectors in their financial portfolio. This encourages their corporate clients to consider sustainability as part of their own business strategies.

Community influence: organizations with sustainability as part of their core strategy are creating playbooks and helping clients embark on their sustainable development journey.

Technology and data: organizations need to collect, understand, analyze and tie non-financial data back to financial outcomes. Also, making these technologies open source will ensure the data is equitable and accessible for anyone to build on.

Policy: ISSB and EFRAG's work on EU sustainability reporting are bringing uniform standards for sustainability disclosures.

As a tech company, we are focusing on sustainability through five focus areas. However every organization should choose to focus on areas that help them contribute to sustainability goals:

Responsible tech and innovation: evaluating the risks and social implications of tech, embedding the values of privacy, empathy, equity and inclusion in tech solutions.

Beyond diversity in tech: extending opportunities to increase the advancement of underrepresented groups in the technology sector.

Inclusivity and social justice: using data to highlight injustice and using technology to provide platforms for empowerment.

Healthcare as a human right: developing tech based approaches to extend health information and care to communities grappling with health service shortages.

Sustainability and climate action: leveraging technology to identify and mitigate the negative impacts of climate change and reduce carbon footprint.